

if the primary role of an investment committee is to set investment objectives, make asset allocation decisions, and select money managers—in other words to produce alpha? The answer is simple: NEVER.³⁴

The board has hired the asset manager (agent) to make these decisions. And the fund manager is closer to markets and has better information than the board. The board must anchor and own the long-run investment strategy, but it does not implement that strategy. For the asset manager to do that well, there has to be communication and reporting set up so that the asset owner can trust the manager. The asset owner should put in place processes so that the asset manager can make investment decisions, but the board should not make investment decisions itself.

This advice aligns with theory. Aghion and Tirole (1997) show that if the principal intervenes and overrules the agent's choices, he reduces the agent's incentives to make good choices, and thus the agent is less incentivized to create value. Constant intervention destroys the opportunities and incentives for lower levels to learn. Always second-guessing the manager undercuts autonomy and any performance incentives arising from it. And of course, intervention is destructive to firm culture and leads to a lot of wasted effort and politicking.

Set Consistent Goals

The board has the responsibility to create an environment where a professional investment culture can flourish, consistent with the comparative advantages of the investor, investment beliefs and strategy, and the institution's ability to implement. The last is crucial. CPPIB has empowered its investment manager (agent) and given it an active investment mandate. The Reference Portfolio serves as the benchmark to measure the active performance. The Reference Portfolio represents a low-cost, investable alternative to active management and it is transparent, demanding, and simple.

To implement the active mandate, CPPIB pays its managers well (although nowhere near the highest levels of Wall Street); the board supports its manager and gives it appropriate resources to pursue active management. Most of the funds are managed internally, at great savings to beneficiaries. Although sufficient pay is part of creating a strong investment culture, it is certainly not the only consideration. Equally important is the board's ability to assess and support the manager's ability to build and retain skills. At the opposite extreme, the large state pension fund of CalPERS is hamstrung by many state constraints, especially on pay. Joseph Dear, CIO of CalPERS, has said the CPPIB model is not "politically feasible"

³⁴Elroy Dimson, quoted by Arnold Wood, presentation slides "Behavioral Insights: Origins of Imperfect Choices," 2011.